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KCB Kenya HY'25 Earnings Note

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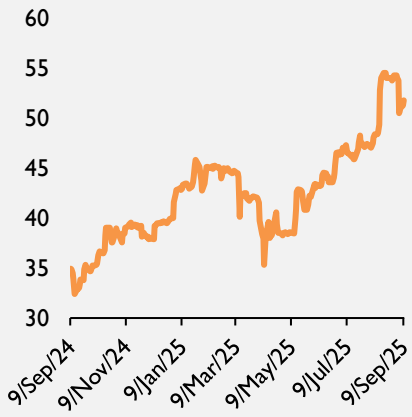


KCB Group HY'25 Earnings Note

September 10th, 2025

Ticker Information	
NSE Code:	KCB
Bloomberg Ticker	KNCB:KN
Issued Shares (Bn):	3.21
52-week high:	KES 55.00
52-week low:	KES 15.00

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	6.7%	16.4%	29.1%	48.1%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	**KES 51.75**	**KES 62.85**

Summary

- **KCB Group registered a 8.0%y/y growth in net earnings to KES 32.33 Bn in H1'2025, up from KES 29.92 Bn in the corresponding period last year**. The performance was supported by higher net interest income, which rose to KES 69.14 Bn, despite a decline in Non-Interest Income. A sharper drop in interest expense to KES 31.36 Bn further lifted net interest income. A key highlight of the results was the declaration of a special dividend of KES 2.0 from the proceeds of the NBK sale, alongside an interim dividend of KES 2.0 compared to KES 1.5 in the prior year. The lender also reported an improvement in asset quality, with the Gross NPL ratio easing to 18.3% from 18.6%.

Key Highlights

- **Earnings Mix:** KCB reported strong underlying performance, supported by growth in interest income. Revenues from loans and advances rose by 2.0% y/y to KES 70.57 Bn, in line with a 6.1% expansion in the loan book. In contrast, interest income from securities fell by 5.7% y/y to KES 24.0 Bn, despite an 18.4% increase in government securities holdings. We attribute this to the easing monetary policy environment, which compressed margins compared to the high-interest rate conditions witnessed last year. Non-Funded Income declined by 11.3% y/y to KES 29.53 Bn, largely weighed down by a 48.0% y/y drop in FX trading income to KES 5.19 Bn, as the stable Kenyan shilling eroded spread margins. Offsetting this weakness, fees and commissions provided strong support, rising by 8.9% y/y to KES 6.1 Bn.
- **NPLs Easing, But Asset Quality Remains Strained:** During the review period, the stock of NPLs rose 4.2% y/y but declined 5.2% q/q to KES 221.07 Bn. The performance was attributed to the NBK sale, intensified recoveries, and restructuring efforts. KCB Kenya recorded higher NPLs following the transfer of some NBK liabilities, while TMB and South Sudan were adversely impacted by hyperinflation. NPL coverage slipped by 1.6% points to 64.3% as NPLs continued to edge upward.

Balance Sheet Dynamics

Total assets edged down 0.4% y/y to KES 1.97 Tn, weighed by a sharp 41.7% decline in placements to KES 208.25 Bn from KES 357.14 Bn. The bank continued to channel liquidity into government securities, which expanded 18.4% y/y to KES 424.40 Bn from KES 358.55 Bn, a strategic tilt toward lower-risk assets amid elevated NPLs. Nonetheless, the loan book registered a 6.1% y/y increase to KES 1.10 Tn from KES 1.03 Tn, driven by lending to the energy, industrials, and infrastructure segments.

Total liabilities contracted 4.3% y/y to KES 1.65 Tn from KES 1.73 Tn. Deposits eased 0.3% y/y to KES 1.49 Tn, partly impacted by Uganda's transition to its own G2G program. Adjusting for the NBK sale, deposits grew 6.0% y/y. The deposit mix was broadly unchanged from the prior quarter, with corporate clients accounting for 53.0% and retail 47.0%, though the share of call deposits increased. Management expects deposit growth to gain traction supported by robust digital lending initiatives and continued branch expansion.

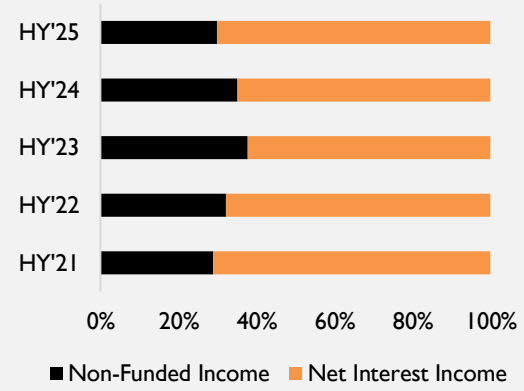
Outlook

Going forward, we expect KCB to maintain a resilient core business in lending. Deposit mobilization is likely to increase through branch networks and digital channels, ultimately supporting loan book growth alongside more attractive lending rates as the monetary policy environment continues to ease. We also expect the lender to strengthen revenue on the Non-Funded side, with FX income anticipated to pick up on the back of higher transaction volumes, while the DRC segment continues to offer compelling opportunities from spread margins. We believe KCB's subsidiaries will remain key drivers of overall growth. With the signing of a peace deal in the DRC, the economy is expected to gradually recover. In addition, following the NBK divestment, the bank is positioning itself to capitalize on high-potential subsidiaries such as Uganda and Tanzania. Despite the improvement in the stock of NPLs, the NPL ratio remains elevated relative to the industry average, which is still a concern. That said, we are encouraged by the bank's recovery efforts and ongoing engagement with government entities, which have helped resolve some long-standing facilities.

Recommendation

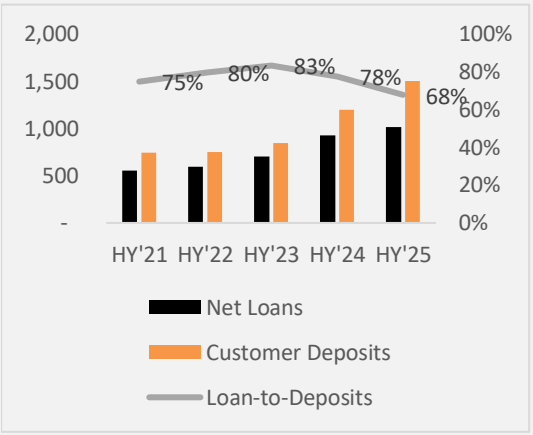
- **We maintain our *BUY* recommendation on KCB Group, on account of its strong core business and regional expansion.** At the current market price, the stock is trading at P/E ratio of 2.7x and a P/B ratio of 0.5x. Our one-year target price for KCB Group currently stands at KES 62.85 per share - representing a c.21.4% upside potential from current levels.

Chart 2: Earnings Mix



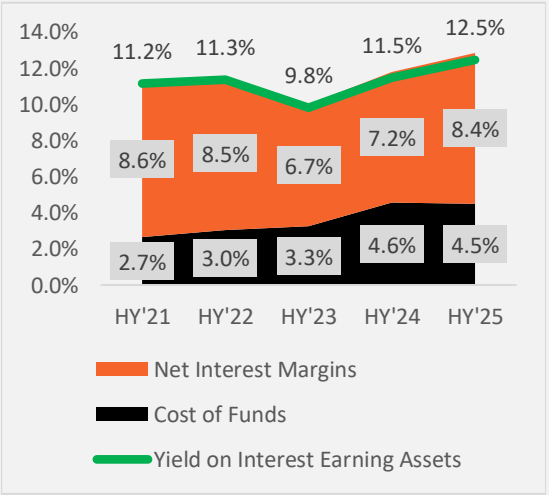
Source: Company filings, AIB-AXYS Research.

Chart 3: Growing Deposits



Source: Company filings, AIB-AXYS Research.

Chart 4: Net Interest Margin Rebounds



Source: Company filings, AIB-AXYS Research.

KCB Group HY'25 Earnings Note

Income Statement (KES Mn)	HY'21	HY'22	HY'23	HY'24	HY'25	y/y % Change
Net Interest Income	36,416.3	40,591.5	45,508.3	61,327.2	69,135.6	▲ 12.7%
Net non-Interest Income	14,793.6	19,215.6	27,560.0	33,294.3	29,534.6	▼ (11.3%)
Total Operating income	51,209.9	59,807.1	73,068.4	94,621.4	98,670.2	▲ 4.3%
Provision for Impairment	(6,583.2)	(4,318.7)	(10,191.4)	(12,199.8)	(12,471.1)	▲ 2.2%
Total Operating expenses	(29,294.2)	(31,628.8)	(50,611.0)	(56,509.3)	(57,837.9)	▲ 2.4%
Profit before tax	21,915.7	28,178.4	22,457.4	38,112.1	40,832.3	▲ 7.1%
Profit after tax	15,300.9	19,646.6	16,057.4	29,923.5	32,327.7	▲ 8.0%
Core EPS Annualized	9.52	12.23	9.99	18.15	19.61	▲ 8.1%
Final DPS	0.00	0.00	0.00	1.50	2.0	▲ 33.3%

Balance Sheet (KES Mn)	HY'21	HY'22	HY'23	HY'24	HY'25	y/y % Change
Government Securities	213,040.1	277,844.0	362,422.8	358,547.9	424,402.9	▲ 18.4%
Loans and Advances	606,967.4	730,335.5	964,808.7	1,032,170.3	1,095,406.2	▲ 6.1%
Total Assets	**1,022,153.0**	**1,210,107.5**	**1,864,591.1**	**1,976,856.2**	**1,968,974.9**	▼ (0.4%)
Customer Deposits	786,035.1	908,573.1	1,471,246.4	1,490,592.6	1,486,080.1	▼ (0.3%)
Total Liabilities	869,233.4	1,028,357.8	1,646,593.6	1,728,602.7	1,653,471.8	▼ (4.3%)
Shareholder's Funds	**152,919.6**	**179,113.2**	**211,232.0**	**241,006.8**	**306,829.9**	▲ 27.3%

Ratio Analysis	HY'21	HY'22	HY'23	HY'24	HY'25	y/y % Change
Spreads Analysis						
Yield on Assets	11.2%	11.3%	9.8%	11.5%	12.5%	▲ 1.0%
Cost of Funds	2.7%	3.0%	3.3%	4.6%	4.5%	▼ (0.1%)
Net Interest Margin	8.6%	8.5%	6.7%	7.2%	8.4%	▲ 1.1%
ROaE	18.9%	23.2%	19.1%	22.7%	23.4%	▲ 0.7%
ROaA	2.7%	3.5%	2.4%	2.7%	3.3%	▲ 0.6%
Profit Margin	29.9%	32.8%	22.0%	31.6%	32.8%	▲ 1.1%
Operating Effiency						
Cost to Income Less LLP	44.3%	45.7%	55.3%	46.8%	46.0%	▼ (0.8%)
Cost to Assets Less LLP	2.2%	2.3%	2.2%	2.2%	2.3%	▲ 0.1%
Loan to Deposit Ratio	77.2%	80.4%	65.6%	69.2%	73.7%	▲ 4.47%
Asset Quality						
Gross NPL Ratio	14.6%	21.8%	17.5%	18.6%	18.3%	▼ (0.2%)
NPL Coverage	61.6%	45.8%	51.1%	65.9%	64.3%	▼ (1.6%)
Cost of Risk	2.2%	1.2%	2.1%	2.4%	2.3%	▼ (0.1%)
Capital Adequency						
Core Capital/TRWA	18.2%	17.7%	15.0%	17.8%	17.0%	▼ (0.8%)
Total Capital /TRWA	21.8%	21.6%	18.4%	20.3%	19.7%	▼ (0.6%)
Liquidity	0.0%	39.0%	52.1%	47.9%	47.6%	▼ (0.3%)



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